

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

ELL may wish to understate its trade payables and purchases in order to improve its liquidity position, in particular, ELL is subject to meet the current ratio of greater than 1 as set out in the loan agreement.

In addition, the same trade payable clerk is responsible for recording purchases and trade payables and processing payments, fraud risk on misappropriation of funds by the trade payable clerk would increase because he can create fictitious purchases and process fake payments by himself.

Answer 1(b)

The audit team should concern whether the purchases and trade payables are accurately and completely recorded.

The audit team noted that ELL lost a few key accounting staff and vacant positions have not been filled. This indicated a lack of segregation of duties which would affect the effectiveness of ELL's internal control.

Accordingly, the control risk of material misstatements of ELL's purchase and trade payable process is considered to be high.

Answer 1(c)

Subcontracting fee is a significant component of ELL's production costs. The auditor should concern whether the subcontracting fees are accurately recorded in the financial statements.

The subcontracting fees are calculated based on a formula where some of the parameters, such as the labour cost mark-up and the fixed monthly fee, are predetermined in the subcontracting agreements. However, these predetermined parameters may vary among subcontractors. This increases the complexity of the subcontracting fees calculation.

Further, the subcontracting fee is calculated based on the actual direct labour costs incurred by the subcontractors where such information is not maintained by ELL itself. ELL is required to estimate an amount or obtain the actual amount from the subcontractors for the determination of the subcontracting fee.

Subcontracting is a new arrangement this year, therefore, the personnel who oversee the related financial reporting process may not be familiar with this new arrangement and its control may not be effective.

As such, the determination of subcontracting fees may require further reconciliation process before both parties agree a final subcontracting fee.

The overall internal control of ELL is considered to be ineffective, therefore, material misstatements on subcontracting fees may not be detected.

Based on the above consideration, the risk of material misstatements on the accuracy assertion of ELL's subcontracting fees is considered to be high.

Answer 1(d)

The audit team should perform the following procedures to audit the completeness of ELL's trade payables:

- Reconcile the listing of trade payables to the general ledger balance by casting and cross-casting.
- Examine post year end purchase transactions to identify if there are any unrecorded trade payables.
- Obtain statements from the overseas suppliers for LED chips and trace these back to ELL's accounting records to identify if there are significant discrepancies.
- Obtain statements (if any) or written documentation from the subcontractors and trace these back to ELL's records of the subcontracting fee payables to identify if there are significant discrepancies.
- Examine the subcontracting agreements for the terms of the subcontracting fees to ensure appropriate fees have been accrued for by ELL as trade payables.
- Send confirmation requests to the overseas suppliers of LED chips and subcontractors with material outstanding balances to confirm the year end balances due by ELL.
- Send confirmation requests to the key suppliers which have nil or small outstanding balances due by ELL at the year end date.
- Perform comparison of the current year balance for trade payables to the previous year to check for reasonableness.

Answer 2(a)

The audit team should perform the following procedures during the inventory count:

- Observe whether ELL's staff are following instructions as this will help to ensure the count is complete and accurate.
- Observe whether all the movements and production processes are suspended so that there are no movement of the stock items during the inventory count.
- Ensure procedures to identify damaged, obsolete and slow moving inventory are executed.
- Obtain information on the inventories' age, condition and usage, and in case of work-in-progress, its stage of completion to ensure that it is later valued properly.
- Obtain the last serial numbers of the goods received and dispatched for the upcoming cut-off test at the final audit.
- Conclude whether the inventory count is properly carried out and is sufficiently reliable as a basis of determining the existence of the inventories. For example, whether the inventories held on behalf of third parties are separated, whether discrepancies were found during the test count.
- Gain an overall impression of the levels and values of inventories held so that the auditor may, in due course, judge whether the figure of inventory appearing in the financial statements is reasonable.

Answer 2(b)

As ELL had raw materials, work-in-progress and finished goods at the year end date, the auditor should perform test counts on items belonging to each of these categories so as to ensure they are valued and classified properly.

The auditor should concentrate on the LED chips which are considered to be the high value items.

When carrying out test counts, the auditor should select items from the management's count records and from the physical inventory and check on to the other, to confirm the accuracy of the count records. These two-way tests provide evidence for completeness and existence.

Answer 2(c)

Other inventories that ELL had recorded at the year end date included inventories held by the subcontractors and goods-in-transit.

For inventories held by the subcontractors, if material, the audit team can perform the following procedures subsequent to the reporting date to confirm their existence:

- Obtain direct confirmations from the subcontractors to confirm the quantities and ownership of the inventories held by them on ELL's behalf.
- Inspect any documentation regarding the goods held by the subcontractors.
- If possible, request ELL or subcontractors to perform an inventory count and such count will be attended by the auditor.
- Assess the effectiveness of the control implemented by the subcontractors regarding their inventory count procedures.
- Perform roll-backward procedures to reconcile these inventories at the year end date.

For goods-in-transit, if material, the audit team can perform the following procedures:

- Obtain the shipping or other delivery evidence to verify the existence of the goods in transit.
- Examine the evidence of the subsequent goods received.

Answer 3(a)

The audit team should perform the following procedures to audit the classification and presentation assertions of ELL's bank loan and finance lease payables:

(i) Bank loan

- Examine the bank loan agreement to confirm the repayment of the loan is repayable beyond 12 months from the reporting date.
- As the loan agreement stipulates conditions with which ELL must comply a current ratio of greater than 1, the audit team should obtain evidence to confirm whether ELL has complied to such conditions. Otherwise, a demand of the immediate repayment of the loan would trigger the reclassification of such a loan from non-current to current liabilities.
- Obtain direct confirmation from the respective bank to confirm the due date for the repayment of the loan.

(ii) Finance lease payables

- Examine the respective agreement(s) to confirm the repayment schedules of all finance lease payables.
- Recalculate the current portion of the finance lease payables.
- Examine the terms of respective agreement(s) to confirm the arrangements satisfied the definition of finance leases in accordance with the relevant accounting standards.

Answer 3(b)

The audit team should perform the following procedures to audit the accuracy and completeness assertions of interest expenses of the bank loan and finance leases:

(i) Bank loan

- As the interest is payable on a bi-annual basis, examine the two interest payments to the bank advices to confirm the amount of interest expenses to ensure it is accurately recorded.
- Examine the bank statements to trace the amount of interest expenses recorded by ELL to ensure the completeness.
- Recalculate the interest expense by applying the market (or agreed) interest rate on the principal loan balance and assess if there are significant discrepancies when comparing the recorded interest expenses.
- Examine the subsequent interest payment to ensure no significant unrecorded interest.

(ii) Finance leases

- Examine the finance lease repayment schedules, aggregate the total interests for the year and compare to the recorded interest expenses.
- Compare the current year interest expenses to that of the prior year and ensure if the changes are reasonable.
- Check the monthly bank statements and agree the portion of interest expenses paid and aggregate repayments of principal.
- Examine the annual statement sent by the lenders which may state the annual interest payment for the respective financial lease arrangements, and compare such annual interests to the recorded interest expenses.

Answer 4(a)

The audit objective of the rights and obligations assertions is to ensure ELL has rights to the land purchased and recorded at the year end.

If the land certificate was not obtained, it may indicate that ELL did not have the rights to the land purchased at the year end.

The audit team should enquire with the management to understand why the land certificate could not be obtained, whether it was due to any legal issues from executing the sale and purchase agreement or the usual practice for the registration process which requires a longer time to process.

The audit team should ask ELL to consult its legal counsel to provide an opinion whether ELL had the rights to that piece of land.

The audit team should examine such legal opinion to conclude if ELL had such rights at the year end. If it is concluded that ELL did not have such rights at the year end date, the audit team should discuss with the management of ELL to ascertain if appropriate adjustment or additional financial disclosures should be made to the financial statements.

Answer 4(b)

The audit team should perform the following procedures:

- Obtain from management the schedule which lists all the costs incurred for the construction in progress, perform casting and cross casting.
- Agree the total construction costs from the schedule to the balance recorded in the ledger.
- For material items purchased from third parties, examine the underlying invoices, agreements or any documentary evidence to verify the amounts.
- For wages incurred by the construction workers, examine any documentary evidence or worker confirmations to verify the wages incurred. Consider whether the workers' wages are eligible for capitalisation.
- Examine the subsequent year end payments to ensure proper cut-off of the construction costs recorded.
- Obtain from management all the construction contracts to ensure if all the related costs have been recorded at the year end date.
- Review the nature of the construction costs incurred to ensure they are related to the constructions.
- Review any construction progress report or perform inspection to ensure the construction was in place.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

The five improvement recommendations include the following:

- The Chairman and the Chief Executive Officer (“CEO”) of Chemical Green should not be the same person. John should resign as either the Chairman or the CEO.
- The composition of the board of directors should be extended to at least one-third of the directors as independent non-executive directors.
- A remuneration committee should be established. A majority of the members of the remuneration committee should be independent non-executive directors. The Chairman of the remuneration committee should be an independent non-executive director. The general policy on the remuneration of executive directors and the specific remuneration packages of each director should be determined by the remuneration committee but not to be determined by the Chairman and CEO of Chemical Green.
- An audit committee should be set up. The internal audit team should report to the audit committee instead of the Chief Operation Officer, who is also an executive director of the board.
- The audit committee should consist entirely of non-executive directors and there should be at least three non-executive directors on the committee. At least one member of the audit committee is an independent non-executive director who has appropriate professional qualifications, or accounting or related financial management expertise. A majority of the audit committee members must be independent non-executive directors and the Chairman of the audit committee must be an independent non-executive directors as well.

Answer 5(b)

In response to the inventory loss, the audit committee should consider the following actions:

- Discuss with the board of directors to set up an independent investigating team to find out the causes of the inventory loss.
- Direct the independent investigating team to understand the root causes of the inventory loss.
- Supervise the internal audit team to perform a thorough review of the company’s inventory management processes and controls in place, evaluate and identify possible control deficiencies and improvement areas on the inventory management procedures.

- Discuss with the external auditor their historical and current inventory count findings.
- Review with the finance and accounting team and internal audit team the quantification of inventory loss and the sufficiency of disclosures made in the financial statements.
- Consider if there is any management fraud involved in the inventory loss and suggest appropriate follow up and remediated actions.

Answer 6(a)

Susana is the Chief Financial Officer and Executive Director of Company Y, who has self-interest in Company Y's financial results.

A listed company usually has internal policy and procedures regarding acquisition of the company's interest by directors and key management. Before Susana purchases the shares of Company Y in the market, she should check with the internal policy and procedures to ensure that she properly follows those. She should also disclose her plan of purchase to those charged with governance (i.e. audit committee).

Since Susana's plan of purchasing shares of Company Y in the market may pose concern about using confidential information for personal advantage, Susana should also ensure that she has complied with all the laws and regulations, such as sections 270 and 291 of the Securities and Futures Ordinance regarding insider dealing.

Answer 6(b)

Since the audit team and the advisory team are two separate teams with different reporting lines within XYZ & Co, any self-review threat is minimised.

The audit team should not give the festive hamper to Susana during the advisory project tender period. The tender period is sensitive. It may pose self-interest threat to XYZ & Co and weaken XYZ & Co's independence in appearance on bidding the advisory project during this sensitive period. In addition, an expensive festive hamper is definitely not trivial and inconsequential, which may be seen to be intended to influence the judgement of Company Y.

If the advisory project is accepted, the total non-audit fees will be twice the total audit fees for the year. The higher total non-audit fees comparing to the total audit fee is a self-interest threat. XYZ & Co should discuss with the audit committee the nature of the non-audit service and consult the audit committee's view on whether the non-audit service may pose concern on the independence of XYZ & Co as Company Y's auditor before XYZ & Co commences the advisory project. XYZ & Co should summarise and report the total audit fees and non-audit fees to the audit committee and such information should be disclosed in the annual report of Company Y.

Answer 6(c)

As a professional accountant, Peter has a duty of confidentiality to his client. HKICPA's *Code of Ethics for Professional Accountants* states that a professional accountant who acquires sensitive information in the course of his work, should not use, nor appear to use, that information to his own advantage or to the advantage of any third party with which he is connected.

Though Peter did not disclose the details of the spin off project to his friend intentionally and he did not disclose the spin off project relating to Company Y, Peter violated his duty of confidentiality to Company Y to keep Company Y's information confidential.

In addition, Peter frequently shares his work location on his social media network. This may tip off his friend that the spin off project is related to Company Y. If Peter's friend took advantage of this information, Peter would also be deemed to violate the relevant laws and regulations on misusing insider information and be liable to the loss to Company Y.

Peter should be more sensitive and act with due diligence in the future on confidential information of his clients and stop mentioning this information to anyone, including his close family members. Peter should also stop sharing his work location on his social media account.

Answer 7(a)

(i) Control procedures

The control procedures of bespoke software are usually separately designed, documented and implemented, of which the degrees of reliability varies. Off-the-shelf software is usually with in-built control procedures which are well-documented.

(ii) Data and file structures

Data and file structures of bespoke software are usually chosen by the organisation. Data and file structures of off-the-shelf software are usually dictated by the package design.

(iii) Ongoing maintenance

The ongoing maintenance and support of bespoke software is usually maintained by the organisation which is usually more costly than off-the-shelf software. Bespoke software should be able to be updated and extended to meet future needs. Off-the-shelf software will usually be updated continuously by the software manufacturer. The organisation is dependent on the supplier for maintenance of the package.

(iv) Customisation

Bespoke software is usually designed to meet the organisation's special needs and therefore the software can be customised to a larger extent and can be tailored to be compatible with other existing systems being used within the entity. Standard off-the-shelf software can usually be customised to a very limited extent only.

Answer 7(b)

AI is bespoke software. HoEasy is off-the-shelf software.

Answer 7(c)

The relevant internal controls should include the following:

- A working team should be set up with both (i) IT experts from Company Z who have extensive knowledge on AI and experience on AI development and (ii) business users from Company E who thoroughly understand the business needs, processes and controls of Company E.
- The standards over system design, programming and documentation should be clearly defined and documented.
- Thorough testing procedures should be developed to assist the working team to test the functions of the new system.
- A user testing environment should be developed for testing purposes.
- A thorough testing over the new system should be performed by the working team using test data.
- User-acceptance test should be carried out.
- Approval of the user-acceptance test by system users and management should be obtained before the launch of the system.
- Segregation of duties should be in place so those responsible for design are not responsible for testing.
- Installation procedures should be in place so that data is not corrupted in transition.
- A user manual should be developed for the new system with clear and adequate user guidance.
- Sufficient training should be provided to the affected staff to assist them to understand the new system and new procedures in place in response to the new system.
- Business processes and controls may have to be updated when the new system is implemented.

Answer 8(a)

The relevant audit procedures should include the following:

- Obtain the cash flow forecast prepared by Fast Growth management and discuss with management to understand their assumptions used in the cash flow forecast, such as revenue growth, gross profit margin, operating costs, finance costs, etc.
- Test the mathematical accuracy of the cash flow forecast prepared by Fast Growth management.
- Evaluate the reliability of the underlying data used to prepare the cash flow forecast, and determine whether there is adequate support for the assumptions underlying the forecast. For example, by comparing the forecast to historical performance and market trend, etc.
- Consider the accuracy of the cash flow forecast prepared by Fast Growth management in the past to assess if management's current cash flow forecast is reliable.
- Perform stress test / sensitivity analysis against the key assumptions used in the forecast.
- Evaluate Fast Growth management's plans for future actions in relation to its going concern assessment, whether the outcome of the plan is likely to improve the situation and whether management's plan is feasible in the circumstances.
- Review the correspondence between Fast Growth and the bank relating to the HK\$20 million bank loan roll over and understand from management their rationale for the roll over to be succeeded.
- Confirm with the bank if they have intention to roll over the HK\$20 million borrowing facilities with Fast Growth.
- Obtain supporting evidence from management on the possible funding from a venture capital. For example, funding agreement, bank record of actual fund transfer, etc.
- Consider whether any additional facts or information have been available since the cash flow forecast management prepared, such as board minutes, latest management accounts.
- Perform audit procedures regarding subsequent events to identify those that either mitigate or otherwise affect Fast Growth's ability to continue as a going concern.
- Request written representation from Fast Growth management about the plans for future actions (e.g. the bank will roll over the HK\$20 million loan with the Company, additional funds will be available from February 2019, etc.) and the feasibility of these plans.

Answer 8(b)

The draft auditor's report is prepared below:

INDEPENDENT AUDITOR'S REPORT

To the Members of Fast Growth Limited
(Incorporated in Hong Kong with limited liability)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Fast Growth Limited ("the Company") set out on pages [x] to [x], which comprise the statement of financial position as at 31 December 2018, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31 December 2018, and of its financial performance and its cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards ("HKFRSs") issued by the Hong Kong Institute of Certified Public Accountants ("HKICPA") and have been properly prepared in compliance with the Hong Kong Companies Ordinance.

Basis for Opinion

We conducted our audit in accordance with Hong Kong Standards on Auditing ("HKSA") issued by the HKICPA. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the HKICPA's *Code of Ethics for Professional Accountants* ("the Code"), and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material Uncertainty Related to Going Concern

We draw attention to Note [x] in the financial statements, which indicates that the Company incurred a net loss of HK\$8 million during the year ended 31 December 2018 and, as of that date, the Company's current liabilities exceeded its current assets by HK\$10 million. As stated in Note [x], these events or conditions, along with other matters as set forth in Note [x], indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

* * * END OF EXAMINATION PAPER * * *